

TENTATIVE RULING(S) FOR May 11, 2026

Department S14 – Judge Winston Keh

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UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

CIVSB2416604

Ishikawa v. Chio et al

TENTATIVE RULING(S):

On May 10, 2024, Plaintiffs Fuji Merchandise Corp. (Fuji Corp.), Terumi Ishikawa (Terumi), Yoko Ishikawa (Yoko), and Fuji Merchandise Inc. (Fuji Inc.) filed this action against Defendants Tamami Ishikawa Chio (Tamami), Raymond Hockshein Chio (Raymond), RT Prestige LLC (RT), Raytam Corporation (Raytam), Transpacific Inc. aka G C & S Co dba Pacific Trading (Pacific), Urban Tokyo LLC (Urban), and Citizens Business Bank (Citizens).

In November and December 2025, each of the six defendants separately filed the six demurrers to Plaintiffs' Second Amended Complaint (SAC) that are now before the Court. Plaintiffs oppose each of the demurrers, and each Defendant replies.

As part of the replies, Defendants complain the oppositions were filed and served late. However, the objection is waived because the replies then proceed to address the oppositions on their merits. (*Clark v. Stabond Corp.* (1987) 197 Cal.App.3d 50, 58-59.)

ANALYSIS

Meet and Confer Requirement

Code of Civil Procedure sections 430.41 and 435.5 require, before filing a demurrer or motion to strike, the moving party must meet and confer in person, by telephone, or via video conference with the party who filed the pleading in order to determine if an agreement can be reached to resolve the objections to the pleading. The parties must meet and confer at least five days before the responsive pleading is due, but if they are unable to do so, an automatic 30-day extension of time within which to file the responsive pleading will be granted by filing and serving a declaration on or before the date the response would be due, stating a good faith attempt was made to meet and confer. The moving party then must file and serve a meet and confer declaration with the motion stating either the means by which the parties met and conferred, or the party who filed the pleading failed to respond to the meet and confer request. (Code Civ. Proc., §§430.41, subd. (a), 435.5, subd. (a).)

Defense attorney Edward J. Loya, Jr., submits declarations in support of each of the demurrers (referred to collectively) providing counsel unsuccessfully met and conferred via Zoom on November 11, 2025. (Loya Decls., ¶¶3-4.)

In opposition, Plaintiffs' counsel Seong Kim provides a responding declaration disputing the adequacy of the meet and confer efforts. Kim attaches an email in which she asked for a summary of challenges before the call which defense counsel declined to provide. After the call, Kim emailed opposing counsel to "confirm that you refused our request that you provide us with legal authorities supporting the basis for your contemplated Demurrer" and reiterating the request for such authority. In response, Loya indicated he was unaware of an obligation to such legal authority. In the final exchange, Loya asserted that during the call Plaintiffs' counsel had stated they did "not want to hear about statutes and citations to statutes." (Kim Decl., ¶¶5-7; Exh. A.)

Code of Civil Procedure section 430.41, subdivision (a)(1) requires the demurring party to “identify with legal support the basis of the deficiencies.” Plaintiffs apparently interpret this as requiring specific legal citations, while Defendants interpret it more broadly. The Court generally agrees with the proposition that meet and confer efforts are better served and more likely to be successful if more specific legal authority is provided, but the statute is somewhat ambiguous on this point. Given the voluminous nature of these demurrers and the fact that this case is being heavily litigated with 22 discovery motions upcoming, the Court is putting the parties on notice that it is requiring a more detailed meet and confer process than usual.

Moving forward, counsel for the moving party MUST provide specific legal authority including statutory and case citations before any party files any further demurrers or discovery motions.

(CCP section 128, subdivisions (a)(5) and (8).)

Raytam’s Demurrer

Raytam demurs to the sixth, seventh, eighth, thirteenth, and fifteenth causes of action.

Sixth cause of action for avoidance of transfers under the California Uniform Voidable Transactions Act. Plaintiff alleges under the Uniform Voidable Transactions Act (UVTA, Civ. Code, §3439 *et seq.*) Plaintiffs are creditors and Defendants are debtors. Plaintiffs have a right to payment from Defendants. Defendants have transferred assets or incurred obligations to themselves as insiders or to others. Defendants made the transfers or incurred the obligations with actual intent to hinder, delay, or defraud Plaintiffs. Defendants retained possession or control of the property transferred after the transfer. The transfer or obligation was concealed. Defendants removed or concealed the assets and intended to do so to make it more difficult for Plaintiffs to collect. Plaintiffs have been harmed and prejudiced in that the property has been placed out of the reach of Plaintiffs that could have been used to pay the debt. Individual Plaintiffs Ishikawa and Yoko experienced damage to the value of their stock. (SAC, ¶¶104-116.) The UVTA, formerly known as the Uniform Fraudulent Transfer Act (see Stats. 2015, ch. 44, § 2), “permits defrauded creditors to reach property in the hands of a transferee.” (*Mejia v. Reed* (2003) 31 Cal.4th 657, 663 [3 Cal. Rptr. 3d 390, 74 P.3d 166].) “A fraudulent conveyance is a transfer by the debtor of property to a third person undertaken with the intent to prevent a

creditor from reaching that interest to satisfy its claim.” (*Yaesu Electronics Corp. v. Tamura* (1994) 28 Cal.App.4th 8, 13 [33 Cal. Rptr. 2d 283].) The transferee “‘holds only an apparent title [to the transferred property], a mere cloak under which is hidden the hideous skeleton of deceit, the real owner being the scheming and shifty judgment debtor’” (*Cortez v. Vogt* (1997) 52 Cal.App.4th 917, 936 [60 Cal. Rptr. 2d 841].) The purpose of the voidable transactions statute is “‘to prevent debtors from placing property which legitimately should be available for the satisfaction of demands of creditors beyond their reach’” (*Chichester v. Mason* (1941) 43 Cal.App.2d 577, 584 [111 P.2d 362].)

A creditor seeking to set aside a transfer as fraudulent under section 3439.04 may satisfy either section 3439.04, subdivision (a)(1) by showing actual intent, or section 3439.04, subdivision (a)(2) by showing constructive fraud. (*Monastra v. Konica Business Machines, U.S.A., Inc.* (1996) 43 Cal.App.4th 1628, 1635 [51 Cal. Rptr. 2d 528]; *Annod Corp. v. Hamilton & Samuels* (2002) 100 Cal.App.4th 1286, 1294 [123 Cal. Rptr. 2d 924]; see *Reddy v. Gonzalez* (1992) 8 Cal.App.4th 118, 122–123 [10 Cal. Rptr. 2d 55, 10 Cal. Rptr. 2d 58].) Under the UVTA, “a transfer of assets made by a debtor is fraudulent as to a creditor, whether the creditor's claim arose before or after the transfer, if the debtor made the transfer (1) with an actual intent to hinder, delay or defraud any creditor, or (2) *without receiving reasonably equivalent value in return*, and either (a) was engaged in or about to engage in a business or transaction for which the debtor's assets were unreasonably small, or (b) intended to, or reasonably believed, or reasonably should have believed, that he or she would incur debts beyond his or her ability to pay as they became due.” (*Monastra*, at p. 1635, italics added, citing to § 3439.04.)

The UVTA allows a judgment to be entered against (1) the first transferee of the fraudulently transferred asset, (2) the transfer beneficiary, and (3) any subsequent transferee other than a good faith transferee. (§ 3439.08, subd. (b)(1) & (2).) Section 3439.08, subdivision (b)(1) provides that “to the extent a transfer is voidable, ‘the creditor *may* recover judgment’ for the lesser of the value of the asset or the amount needed to satisfy the creditor's claim, and the ‘judgment *may* be entered’ *against the person for whose benefit the transfer was made*.

[Citation.] Ordinarily, when a statute provides a court ‘may’ do something, the statute is permissive, not mandatory, and grants the court a discretionary authority. [Citations.] In exercising discretion to provide relief from fraudulent transfers, courts are directed by the [UVTA] to consider ‘the principles of law and equity,’ which ‘supplement its provisions.’ [Citations.] Hence, a court may refuse to enter a money judgment against a person for whose benefit a fraudulent transfer was made if an applicable legal or equitable principle bars entry of such a judgment.” (*Renda v. Nevarez* (2014) 223 Cal.App.4th 1231, 1237 [167 Cal. Rptr. 3d 874], some italics added.) (*Lo v. Lee* (2018) 24 Cal.App.5th 1065, 1071-1072.)

Raytam argues the allegations fail to identify a specific relationship in which it is the debtor and any Plaintiff is a creditor. Raytam further argues the SAC does not allege it disposed of any asset to keep Plaintiffs from reaching the asset to satisfy the debt. Raytam further argues no facts allege any actual intent to defraud a creditor or constructive fraud; made the transfer without receiving reasonably equivalent value; and became insolvent due to the transfer.

In opposition, Plaintiffs correctly observe the term “claim” under the UVTA is broadly defined as “a right to payment, whether or not the right is reduced to judgment, liquidated, unliquidated, fixed, contingent, matured, unmatured, disputed, undisputed, legal, equitable, secured, or unsecured.” (Civ. Code, §3439.01, subd. (b).) Plaintiffs further cite to its allegations that Raytam improperly and unfairly competed by purchasing competitors’ products and causing Fuji Corp. to pay for them and then reselling them to Fuji Corp. at a further markup (§45); the Chios’ arrangement for payments of \$25,000 to Raytam (§46); and Raytam’s purchase of Fuji Corp.’s goods at a 20% discount to be resold by Raytam’s wholly owned affiliate (§§47-48). Plaintiffs further argue they have expressly pled actual intent to defraud. Raytam further contends insolvency is only required for constructive fraud and not actual fraud.

Plaintiffs clearly allege Raytam colluded with the Chios to defraud and/or steal from Plaintiffs. They seem to contend that they should be construed as creditors because they have claims against Raytam for these violations that could be reduced to judgment at some point subsequent. Even if the Court accepts that Raytam is a debtor under the UVTA (and the nature of the debt is not clearly pled), the SAC fails to clearly allege what asset(s) were improperly

transferred to avoid recovery by Plaintiffs. If it was the goods that Raytam allegedly obtained improperly at a discount or otherwise, it is not clearly stated here. Accordingly, the Court sustains Raytam's demurrer to the sixth cause of action with 20 days leave to amend.

Seventh cause of action for avoidance of transfers as California common law fraudulent conveyances. The allegations in the seventh cause of action effectively echo those in the sixth cause of action. (SAC, ¶¶121-136.)

The UVTA supplements but does not replace common law fraud principles. (*Berger v. Varum* (2019) 35 Cal.App.5th 1013, 1019.) "Traditionally, creditors could bring fraudulent transfer cases under common law." (*Ibid.*) "However much a conveyance may be tainted with fraud, no creditor may set it aside, unless some specific property out of which he has a right to satisfy his claims is by the fraudulent conveyance, withdrawn beyond his reach. The intent to delay or defraud creditors is not enough; there must also be a resulting injury to the creditor, which must be affirmatively shown." (*Bennett v. Paulson* (1935) 7 Cal.App.2d 120, 123, citation omitted.)

Raytam argues the common law fraudulent transfer claim fails to allege (a) a creditor/debtor relationship; (b) an intent to delay or defraud creditors; and (c) specific property transferred for purpose of keeping it away from a creditor.

The Court sustains Raytam's demurrer to this cause of action with 20 days leave to amend for the same reasons as the preceding cause of action.

Eighth cause of action for avoidance of transfers under the Texas Uniform Fraudulent Transfer Act. This cause of action again effectively repeats the same facts pled in support of the sixth and seventh fraudulent transfer claims brought under California law. (SAC, ¶¶138-153.)

The Texas Uniform Fraudulent Transfer Act (TUFTA, Tex. Bus. & Com. Code §24.005, subd. (a) provides:

(a) A transfer made or obligation incurred by a debtor is fraudulent as to a creditor, whether the creditor's claim arose before or within a reasonable time after the transfer was made or the obligation was incurred, if the debtor made the transfer or incurred the obligation:

(1) with actual intent to hinder, delay, or defraud any creditor of the debtor; or

(2) without receiving a reasonably equivalent value in exchange for the transfer or obligation, and the debtor:

(A) was engaged or was about to engage in a business or a transaction for which the remaining assets of the debtor were unreasonably small in relation to the business or transaction; or

(B) intended to incur, or believed or reasonably should have believed that the debtor would incur, debts beyond the debtor's ability to pay as they became due.

The Court sustains the demurrer to this cause of action with 20 days leave to amend for the same reasons as discussed above in addressing the California fraudulent transfer claims.

Thirteenth cause of action for unjust enrichment and restitution. Plaintiffs allege Defendants have received benefits in relation to Plaintiffs' personal and real property. It would be unjust for Defendants to retain those benefits. Under principles of equity, Defendants should make restitution to Plaintiffs. (SAC, ¶¶188-190.)

Raytam argues this claim fails because there is no standalone cause of action for unjust enrichment.

"Although some California courts have suggested the existence of a separate cause of action for unjust enrichment, this court has recently held that '[t]here is no cause of action in California for unjust enrichment.' Unjust enrichment is synonymous with restitution." (*Levine v. Blue Shield of California* (2010) 189 Cal.App.4th 1117, 1138, citations omitted; See *Peterson v. Cellco Partnership* (2010) 164 Cal.App.4th 1583—a 4th Dist., Div. 3 case suggesting there is a separate cause of action for unjust enrichment based on the Court's outlining of the elements of such a claim.) Under *Peterson*, the elements of an unjust enrichment claim are the "receipt of a benefit and [the] unjust retention of the benefit at the expense of another." (*Peterson, supra*, 164 Cal.App.4th at p. 1593; See also *Hirsch v. Bank of America, N.A.* (2003) 107 Cal.App.4th 708,

721-22, [Based on equitable principles of restitution, the claim for unjust enrichment survived demurrer because banks collected and retained excessive fees passed through to them by title companies at the expense of the plaintiffs].) “A plaintiff may not, however, pursue or recover on a quasi-contract claim if the parties have an enforceable agreement regarding a particular subject matter.” (*Klein v. Chevron U.S.A.* (2012) 202 Cal.App.4th 1342, 1388.) “[I]f a plaintiff was uncertain as to whether the parties had entered into an enforceable agreement, the plaintiff would be entitled to plead inconsistent claims predicated on both the existence and absence of such an agreement.” (*Ibid.*)

Given the split of authority, the Court overrules the demurrer to the unjust enrichment/restitution claim. Plaintiffs adequately allege Defendants, including Raytam, effectively stole or took Plaintiffs’ property at an unauthorized discount. Such is adequate to bring this claim.

Fifteenth cause of action for injunctive relief. Raytam again argues this is not a standalone cause of action. Indeed, in *Allen v. City of Sacramento* (2015) 234 Cal.App.4th 41, the Court of Appeal held as much in affirming dismissal of a cause of action for injunction on demurrer because it “is not a cause of action”. (*Id.* at p. 65.) However, the Court concurrently noted the plaintiffs may still obtain injunctive relief if they prevail on another cause of action notwithstanding dismissal of the injunctive relief cause of action. (*Id.* at pp. 65-66.)

In opposition, Plaintiffs suggest the appropriate result would be to construe this as a request for equitable relief rather than sustain the demurrer. Plaintiffs cite no authority for this proposition. The Court sustains the demurrer to the fifteenth cause of action for injunctive relief without leave to amend because this is not a proper cause of action but is rather a remedy. Nonetheless, dismissal of this cause of action does not preclude Plaintiffs from obtaining an injunction if otherwise appropriate.

Tamami’s Demurrer

Tamami demurs to the first, third, sixth, seventh, eighth, tenth, eleventh, thirteenth, fifteenth, nineteenth, twenty-second, twenty-third, twenty-fourth, and twenty-fifth causes of action.

First cause of action for breach of fiduciary duty. Plaintiffs allege the Chios, as Fuji Corp. executives and/or officers, were insider employees, agents, and fiduciaries of their principles

which include all Plaintiffs. Notwithstanding, the Chios breached their fiduciary duties and the confidences reposed to them by entering into the unauthorized and illegal insider self-dealing financial acts, transactions, and thefts as alleged without board or shareholder approval.

Plaintiffs have suffered damages. Individual Plaintiffs Terumi and Yoko (collectively, the Ishikawas) suffered damages and losses to their shares of stock separate and apart from the corporate Plaintiffs' losses. (SAC, ¶¶54-63.)

Tamami demurs to this cause of action only to the extent it is brought by the Ishikawas and not the claims brought by the corporate Plaintiffs. "It is a general rule that a corporation which suffers damages through wrongdoing by its officers and directors must itself bring the action to recover the losses thereby occasioned, or if the corporation fails to bring an action, suit may be filed by a stockholder acting derivatively on behalf of the corporation. An individual [stockholder] may not maintain an action in his own right . . . for destruction of or diminution in the value of the stock." (*Paclink Communications Internat. v. Superior Court* (2001) 90 Cal.App.4th 958, 965, citation omitted.)

In opposition, the Ishikawas contend they are permitted to bring the action as a "double derivative" suit.

A 'double derivative' suit has been defined as an action brought by a shareholder of a holding or parent company, on behalf of that corporation, to enforce a cause of action in favor of the subsidiary company. The shareholder is, in effect, maintaining a derivative action on behalf of the subsidiary, since the holding or parent company has derivative rights to the cause of action possessed by the subsidiary.

(*Heshejin v. Rostami* (2020) 54 Cal.App.5th 984, 987, fn. 1, citation omitted.)

The problem here is that no derivative lawsuit is necessary in the first instance because the corporations themselves (both Fuji Corp. and Fuji Inc.) have directly alleged these claims. A derivative action is appropriate if the corporation fails or refuses to bring an action, but here the corporations did file this action. As no claim for diminution in stock value is available to the Ishikawas, this claim fails as to them.

Plaintiffs also argue the demurrer fails because it attacks only a part of a cause of action. Not so. This demurrer attacks the entire cause of action to the extent it is brought by the Ishikawas. The claim stands to the extent it is brought by the corporate Plaintiffs. Thus, the Court sustains the demurrer to the first cause of action by the Ishikawas without leave to amend.

Third cause of action for concealment. Plaintiffs allege they were harmed because the Chios concealed from Plaintiffs the activities, facts, information, and transactions alleged. Had Plaintiffs known, they would have behaved differently, and the wrongdoing would have been prevented and avoided. (SAC, ¶¶79-87.)

A fraudulent concealment claim requires a plaintiff to plead the following: (a) defendant concealed or suppressed a material fact; (b) defendant was under a duty to disclose the fact to the plaintiff; (c) defendant intentionally concealed or suppressed the fact with the intent to defraud the plaintiff; (d) plaintiff was unaware of the fact and would not have acted in the same manner knowing of the concealed fact; (e) causation; and (f) damages. (*Jones v. ConocoPhillips Co.* (2011) 198 Cal.App.4th 1187, 1198; Civ. Code, § 1710.)

The facts that constitute fraud must be alleged fully, factually, and specifically. (*Wilhelm v. Pray, Price, Williams & Russell* (1986) 186 Cal.App.3d 1324, 1331.) For concealment, the plaintiff needs to specifically plead the elements, i.e., the content of the omitted facts, the defendant's awareness of the materiality of those facts, the inaccessibility of the fact by the plaintiff, the general point that the omitted fact should or could have been disclosed, and the plaintiff's justifiable reliance. (*Rattagan v. Uber Technologies, Inc.* (2024) 17 Cal.5th 1, 43-44.)

Tamami argues the SAC contains only conclusory allegations of Tamami's intent to defraud.

While the SAC does not state all the facts supporting this cause of action under the third cause of action directly, reference to the complaint as a whole clearly alleges intent. The gravamen of the entire complaint is that the Chios engaged in self-dealing at every turn and basically robbed Plaintiffs blind. The allegations are sufficiently pled even for a fraud-based claim like concealment. Hence, the Court overrules the demurrer to the third cause of action.

Sixth cause of action for avoidance of transfers under the UVTA, seventh cause of action for avoidance of transfers as California common law fraudulent conveyances, and eighth cause of

action for avoidance of transfers under the TUFTA. Tamami demurs to these claims on the same grounds as Raytam.

The analysis is much the same, although the claims against Tamami are clearly much more comprehensive than those against Raytam since the Chios are the primary alleged wrongdoers here with the corporate Defendants' involvement more limited. As indicated above, the SAC does not clearly plead a debtor/creditor relationship between the parties and does not specifically state what the voidable transfers are.

In opposition, Plaintiffs here identify the following specific voidable transfers: (a) the February 24, 2021 \$4.2 million Citizens Business Bank loan taken in Fuji Corp.'s name with its headquarters as collateral, the proceeds of which were diverted to the RT; (b) the lease-back agreement forcing Fuji Corp. to pay RT \$28,000 in monthly rent plus additional costs; and (c) diversion of Fuji Corp.'s goods and products to Tamami's insider entities at steep discounts.

The SAC as pled still fails to properly state the existence of a debt. As to the specific voidable transfers, Plaintiffs would have Defendants scour this 52-page, 296-paragraph SAC to figure out that these are the transfers involved in this cause of action. It is further questionable whether these transfers make sense here in light of the purpose of these claims. The fraudulent transfer statutes and common law claims are intended to stop a party from getting rid of their own assets to avoid paying a debt. Plaintiffs' allegations in this respect are far too confusing and need to be clarified and presented in a more understandable manner. As this issue can potentially be cured, the Court sustains Tamami's demurrer to the sixth, seventh, and eighth causes of action with 20 days leave to amend.

Tenth cause of action for resulting trust. Plaintiff alleges when a transfer of real property is made to one person and the consideration is paid for by another, a trust is presumed to result in favor of the person by or for whom such payment is made by operation of law from a transfer of property under circumstances showing the transferee was not intended to take the beneficial interest. Creditor Plaintiffs assert a resulting trust against the Chios and RT in relation to the Texas property and warehouse, allowing them to step into Defendants' shoes to establish a resulting trust. (SAC, ¶¶172-173.)

Tamami argues a resulting trust is not an independent cause of action. In *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, the Court of Appeal held a resulting trust is not a cause of action, but only a remedy. (*Id.* at p. 76.) The Court further held the trial court acted within its discretion in sustaining a demurrer to the claim without leave to amend. (*Ibid.*)

In opposition Plaintiffs cite to *Fidelity National Title Ins. Co. v. Schroeder* (2009) 179 Cal.App.4th 834 for the proposition that a resulting trust may be a standalone claim, but it does not clearly so hold. Therefore, the Court sustains the demurrer to this cause of action without leave to amend. Plaintiffs can assert a prayer for a resulting trust in connection with one of the other causes of action, but not a standalone resulting trust cause of action.

Eleventh cause of action for rescission. Plaintiffs allege the lease should be rescinded because consent was obtained improperly; consideration fails through Defendants' fault and is void; and because the contract is unlawful and prejudices the public interest. (FAC, ¶¶176-179.)

Rescission may be sought by a contracting party if his/her consent was made by mistake, duress, menace, fraud or undue influence exercised by the other party to the contract. (Civ. Code, §1689, subd. (b)(1).) "Rescission may be had ... if enforcement of the contract as made would be unconscionable...." (*White v. Berrenda Mesa Water Dist.* (1970) 7 Cal.App.3d 894, 900-901.) A pleading for rescission pursuant to Civil Code section 1689 is sufficient if stripped of its conclusions, it sets forth sufficient facts to justify legal relief. (*Odorizzi v. Bloomfield School Dist.* (1966) 246 Cal.App.2d 123, 127.) To affect a rescission, a party to a contract must promptly give notice to the other party that he/she seeks to rescind. Additionally, rescinding party must restore to the other party everything of value that he/she has received from him/her under the contract or offer to restore the same upon the condition the other party do likewise. (Civ. Code, §1691; *White, supra*, 7 Cal.App.3d at pp. 900-901.)

Tamami argues the SAC does not state what contract it seeks to rescind. However, paragraph 176 expressly seeks rescission of "the lease", which presumably refers to the leaseback of the Texas property and warehouse to RT as alleged in paragraphs 33 through 36.

Tamami next argues Plaintiffs failed to adequately allege they sought rescission promptly as required by Civil Code section 1691. Plaintiff alleges they learned of the existence of the

leaseback in October 2023. (SAC, ¶35.) This lawsuit was filed on May 10, 2024, and the original complaint included the same eleventh cause of action seeking rescission of the lease. Tamami cites no authority demonstrating this was insufficiently prompt under section 1691. Therefore, the Court overrules the demurrer to the eleventh cause of action.

Thirteenth cause of action for unjust enrichment. Tamami argues this is not a standalone cause of action. The Court overrules Tamami's demurrer to the thirteenth cause of action for the reasons explained above in connection with Raytam's demurrer.

Fifteenth cause of action for injunctive relief. Tamami again argues injunctive relief is a remedy rather than a cause of action. The Court sustains Tamami's demurrer to the fifteenth cause of action without leave to amend for the reasons explained above in addressing Raytam's demurrer.

Nineteenth cause of action for civil theft. After quoting various statutory provisions, Plaintiff alleges the Chios and RT committed misconduct in a laundry list of ways that constituted civil theft. (SAC, ¶¶248-257.)

Penal Code section 496, subdivision (a), provides: "Every person who buys or receives any property that has been stolen or that has been obtained in any manner constituting theft or extortion, knowing the property to be so stolen or obtained, or who conceals, sells, withholds, or aids in concealing, selling, or withholding any property from the owner, knowing the property to be so stolen or obtained" shall be subject to specified criminal penalties. A victim of this provision may bring an action for three times the amount of actual damages. (Pen. Code, §496, subd. (c).)

Tamami argues Plaintiffs fail to allege any of the cited transactions were anything other than business decisions made by Tamami as Fuji Corp.'s CEO or that Tamami had knowledge any property in question was stolen. Tamami further argues the complaint fails to adequately allege intent to defraud.

As with the third cause of action for concealment, the SAC taken as a whole clearly alleges the Chios engaged in self-dealing in a myriad of forms, took what they wanted, and

concealed it all from corporate headquarters in Japan. The Court overrules the demurrer to the nineteenth cause of action for civil theft.

Twenty-second cause of action for improper division of corporate funds. Plaintiffs allege all the acts described in the SAC constitute “improper diversion of corporate funds” and specified Penal Code violations. (SAC, ¶¶271-274.)

Tamami demurs to this cause of action only to the extent it is brought by the Ishikawas because (a) they do not allege they were Fuji Corp.’s shareholders (except indirectly through their ownership in Fuji Inc.); (b) as individual shareholders they lack standing to sue for harm done to the corporation; and (c) they failed to make a demand on the corporation’s board.

Plaintiffs do not address this cause of action in their opposition papers. As it appears all corporate assets stolen belonged to Fuji Corp. rather than Fuji Inc., the Ishikawas individually do not appear to have a direct interest. Moreover, as discussed above in connection with the first cause of action for breach of fiduciary duty, they cannot bring a claim for diminution in shareholder value. As these defects cannot be cured and this portion of the demurrer is unopposed, the Court sustains the demurrer to the twenty-second cause of action without leave to amend.

Twenty-third cause of action for conversion of personal property of Chino Hills residence. This claim is brought solely by Plaintiff Yoko against Defendant Tamami. The SAC alleges Yoko owns and owned residential property located at 13571 Whispering Willow in Chino Hills. On or about June 29, 2017 (as recorded October 11, 2017), Yoko transferred this property such that after the transfer Yoko and Tamami held the property as joint tenants. Since that time, Tamami has collected rents on the property but failed and refused to remit the rent receivables to Yoko despite demand. Tamami has also failed and refused to pay property taxes, leaving it to Yoko to do so. (SAC, ¶¶276-281.)

The SAC further alleges Yoko has owned and has possessed and had a right to possession of individual items of personal property “as alleged in the foregoing paragraphs.” (SAC, ¶282.)

Tamami actually and substantially interfered with Yoko’s ownership and right to possession of

individual items of property by knowingly and intentionally taking possession thereof and by preventing Yoko access. (SAC, ¶283.)

Tamami argues because the transfer of property occurred on June 29, 2017, the three-year statute of limitations for conversion under Code of Civil Procedure section 338, subdivision (c) ran before this action was filed in 2024. However, it is not the real property that Plaintiff alleges was converted under this claim but rather personal property and money due Yoko. The date of such alleged conversion is not clearly stated on the SAC, but it appears to be ongoing. Thus, the Court overrules the demurrer to the twenty-third cause of action.

Twenty-fourth cause of action for unjust enrichment and restitution with respect to Chino Hills residence. Again, this claim is brought solely by Yoko against Tamami. The SAC alleges Tamami has received benefits in relation to Yoko's personal property and residential real property. It would be unjust for Tamami to retain those benefits at Yoko's expense, and restitution is required under equitable principles. (SAC, ¶¶289-291.)

Tamami again argues unjust enrichment or restitution is not a valid standalone cause of action. This argument fails for reasons discussed above. Tamami also argues even if the claim is permissible, it is barred by the applicable three-year statute of limitations for unjust enrichment claims as articulated in *First Nationwide Savings v. Perry* (1992) 11 Cal.App.4th 1657, 1670.

Tamami contends that the claim does not allege that anything occurred within the past three years; the only dates specified concern the transfer of the property from Yoko alone to Yoko and Tamami jointly in 2017. Tamami further argues there are no allegations of what benefits Tamami has improperly received.

Although not specified under the twenty-fourth cause of action, the allegations under the twenty-third cause of action discussed immediately *ante* provide Tamami collected rent on the Chino Hills property to which Yoko was entitled. This appears to be an ongoing issue. Although this claim is somewhat vague and perhaps duplicative, the Court overrules the demurrer to the twenty-fourth cause of action.

Twenty-fifth cause of action for declaratory relief with respect to Chino Hills residence. This final cause of action is also pled only by Yoko against Tamami. The SAC alleges the parties have an

actual and present controversy over Yoko's residential real and personal property and money and accounts which Tamami wrongfully misappropriated. The SAC seeks a declaration of the parties' legal rights and duties in this respect. (SAC, ¶¶294-295.)

Tamami argues this claim is entirely duplicative of the claims sought in the twenty-third cause of action for conversion of personal property, and that declaratory relief is not appropriate where an adequate alternate remedy exists. However, this claim is not duplicative because it seeks a declaration of the parties' ongoing rights and duties with respect to the property, as opposed to the conversion claim which seeks recovery for past wrongs. The Court overrules the demurrer to the twenty-fifth cause of action.

Raymond's Demurrer

Raymond demurs to the first, third, sixth, seventh, eighth, tenth, eleventh, thirteenth, fifteenth, nineteenth, and twenty-second causes of action. The arguments and analysis as to these claims are identical or nearly identical to those addressing Tamami's demurrer, and therefore the Court rules the same way: (a) sustains without leave as to the first, tenth, fifteenth, and twenty-second causes of action; (b) overrules as to the third, eleventh, thirteenth, and nineteenth causes of action; and (c) sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action.

RT's Demurrer

Defendant RT demurs to the sixth, seventh, eighth, tenth, eleventh, thirteenth, fifteenth, nineteenth, and twenty-second causes of action. The analysis is the same as addressed above in connection to the Chios' legal challenges. Therefore, the Court (a) sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action; (b) sustains without leave to amend as to the tenth, fifteenth, and twenty-second causes of action; and (c) overrules as to the eleventh, thirteenth, and nineteenth causes of action.

Pacific and Urban's Demurrers

Pacific and Urban each separately demur to the sixth, seventh, eighth, thirteenth, and fifteenth causes of action. Again, the analysis is mostly the same. Pacific and Urban's connections to Plaintiffs are certainly more attenuated than those of the Chios and RT, which

could make the fraudulent conveyance claims more difficult to plead. Nonetheless, the Court grants 20 days leave to amend on those claims because Plaintiff could possibly amend to make them viable. The Court sustains the demurrer to the sixth, seventh, and eighth causes of action with 20 days leave to amend; overrules as to the thirteenth cause of action; and sustains without leave as to the fifteenth cause of action.

RULING

For all the reasons stated above, the Court rules as follows:

1. Deems the meet and confer requirement as to each demurrer satisfied, but order both counsel to provide legal authority, including appropriate statutory and case citations, to each other during the meet and confer process prior to filing any future demurrers or discovery motions.
2. As to Raytam's demurrer:
 - a. Sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action;
 - b. Overrules as to the thirteenth cause of action; and
 - c. Sustains without leave to amend as to the fifteenth cause of action.
3. As to Tamami's demurrer:
 - a. Sustains without leave to amend as to the first, tenth, fifteenth, and twenty-second causes of action;
 - b. Overrules as to the third, eleventh, thirteenth, nineteenth, twenty-third, twenty-fourth, and twenty-fifth causes of action; and
 - c. Sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action.
4. As to Raymond's demurrer:
 - a. Sustains without leave to amend as to the first, tenth, fifteenth, and twenty-second causes of action;

- b. Overrules as to the third, eleventh, thirteenth, and nineteenth causes of action;
and
- 5. Sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action. As for RT's demurrer:
 - a. Sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action;
 - b. Sustain without leave to amend as to the tenth, fifteenth, and twenty-second causes of action; and
 - c. Overrules as to the eleventh, thirteenth, and nineteenth causes of action.
- 6. As for Pacific's demurrer:
 - a. Sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action;
 - b. Overrules as to the thirteenth cause of action; and
 - c. Sustains without leave to amend as to the fifteenth cause of action.
- 7. As for Urban's demurrer:
 - a. Sustains with 20 days leave to amend as to the sixth, seventh, and eighth causes of action;
 - b. Overrules as to the thirteenth cause of action; and
 - c. Sustains without leave to amend as to the fifteenth cause of action.

TENTATIVE RULING(S) FOR May 11, 2026

Department S14 – Judge Winston Keh

This court follows California Rules of Court, rule 3.1308(b) for tentative rulings. (See San Bernardino Superior Court Local Emergency Rule 8.) Tentative rulings for each law & motion will be posted on the internet (<https://www.sb-court.org>) by 3:00 p.m. on the court day immediately before the hearing.

You may appear in person at the hearing although remote appearance by CourtCall is preferred. (See www.sb-court.org/general-information/remote-access).

If you do not have Internet access or if you experience difficulty with the posted tentative ruling, you may obtain the tentative ruling by calling the department (S-14) at (909) 521-3495 or the Administrative Assistant (909) 708-8756, who prepared the ruling.

If you (or both parties) wish to submit on the Tentative, notify the other party and call the department by 4:00 pm the day before and your appearance may be excused unless the Court orders you to appear.

You must appear at the hearing if you are so directed by the court in the tentative ruling. Be prepared to address those issues set forth by the court in its ruling.

UNLESS OTHERWISE NOTED, THE PREVAILING PARTY IS TO GIVE NOTICE OF THE RULING.

CIVSB2438100

Estafanous v. Subaru

TENTATIVE RULING(S):

Before the Court is Defendant Subaru's motion to compel sanctions and/or to compel response to demand for production of vehicle for inspection and testing and award of monetary sanctions.

Defendant seeks to: (1) impose monetary sanctions against Plaintiff and his counsel Roger Kirnos and Phil A. Tomas for failing to respond to Defendant's request for a vehicle inspection or submit to a vehicle inspection after being served with an inspection demand; and (2) compel Plaintiff to provide further responses to Defendant's demand for production of the vehicle for inspection and testing and make the 2020 Subaru WRX at issue available for inspection.

The evidence demonstrates that in October 2025, after receiving notice from Plaintiff's counsel's office that Plaintiff intended to dispose of the vehicle, a paralegal at defense counsel's office

responded by email asking when the vehicle would be available. The paralegal made several more attempts by email. On October 28, 2025, defense counsel emailed Plaintiff's counsel offering November 14, 2025, for the inspection, but received no response. On November 10, 2025, defense counsel's office again contacted Plaintiff's counsel's office about an inspection on November 14, 2025. Plaintiff's counsel's office responded that the vehicle would not be available on November 14, 2025, and that Plaintiff decided to keep the vehicle. (Kreshek Decl. ¶¶ 2-8 and Exhs. 1-4.)

On December 2, 2025, Defendant Subaru noticed the vehicle for inspection on January 5, 2026. On December 26, 2026, Plaintiff served objections to the inspection demand. Thereafter, on December 30, 2025, defense counsel sent an email demanding the vehicle be made available for inspection no later than January 7, 2025. No further response was received. (Kreshek Decl. ¶¶ 9-12 and Exhs. 5-6.) While defense counsel states the December 30, 2025 meet and confer is attached as Exhibit 7 to the Kreshek Declaration, the letter is not attached.

On January 13, 2026, Defendant Subaru's filed and served its motion with no further attempt at a meet and confer.

In opposition, Plaintiff asserts that the motion is moot because the vehicle was made available for inspection on March 11, 2026. Plaintiff raises the issue that emails on October 1, 20, and 26, 2025 only included support staff and did not include any attorneys. Plaintiff's counsel Brian S. Cohen contends that while the time a meet and confer was occurring, staff responsible for scheduling vehicle inspections was not under his direct supervision and he was not aware that staff was not responding. He states that his law firm is taking steps to reform internal operations related to vehicle inspections. (Cohen Decl. ¶¶ 2-4.)

But Cohen's statements do not address the objections to the inspection demand that was served or the failure to respond to defense counsel's December 30 meet and confer letter.

Nonetheless, after the motion was filed, Plaintiff offered March 11, 12, 17-19, 2026 as available dates for an inspection. (Cohen Decl. ¶ 6.)

On January 23, 2026, Defendant served an amended demand for vehicle inspection, with an inspection date of March 11, 2026. (Cohen Decl. ¶ 7 and Exh. B.) Plaintiff produced the vehicle for inspection pursuant to the amended demand. (Cohen Decl. ¶ 8.)

Plaintiff asked Defendant Subaru to withdraw the motion, but defense counsel stated the motion would only be withdrawn if Plaintiff paid the costs and fees associated with the motion. (Cohen Decl. ¶¶ 9-10 and Exh. C.)

Plaintiff urges the Court to deny awarding sanctions.

On reply, Subaru argues that Plaintiff does not offer any credible excuse for its “misconduct” or any valid reason that sanctions should not be imposed. It argues that instead, Plaintiff attempts to blame staff despite Plaintiff’s counsel being aware of the issue 10 weeks before the motion was filed.

ANALYSIS

Defendant Subaru seeks sanctions in the amount of \$2,736.50 against Plaintiff and Plaintiff’s counsel Kirnos and Thomas of Knight Law Group. This amount is comprised of 5.6 hours to prepare the motion, an estimated 3.5 hours to review the opposition and prepare the reply, and an additional 1 hour for the hearing at \$265/hour, plus the \$60 filing fee. (Kreshek Decl. ¶¶ 15-16 (misnumbered ¶ 10).)

On this record, the Court denies the motion in its entirety. To the extent Defendant seeks to compel the inspection, the motion is moot. To the extent Defendant seeks sanctions, the Court denies sanctions because Defendant failed to engage in a sufficient meet and confer before the motion was filed. In addition, after the motion was filed, Defendant Subaru served an amended demand for inspection, which Plaintiff complied with the demand.

While the parties should have been able to resolve the issue of an inspection without a formal demand, a formal demand for inspection was not served until December 2, 2025. Plaintiff objected on December 26, 2025. Thereafter, on December 30, 2025, defense counsel wrote a purported meet and confer letter “demanding that Plaintiff provide available dates for the inspection of the vehicle by no later than January 7, 2025.” (Kreshek Decl. ¶ 11.) But thereafter, there is no evidence that defense counsel made any further attempt to meet and confer in

person, by telephone, or by videoconference after January 1, 2026, despite the amendment to Code of Civil Procedure section 2016.040 related to the form of the meet and confer becoming effective. The motion was not filed until January 13, 2026.

In addition, after the motion was filed, defense counsel served an amended notice, to which Plaintiff complied. Had a proper meet and confer occurred before the motion was filed, the parties would have been able to resolve the issue of the inspection without the Court's involvement. Finally, the amount sought is not reasonable given what is at issue.

RULING

DENIED.